

5.

CASE #	CASE NAME	HEARING NAME
CVRI2603191	SMALLWOOD VS U.S. BANK TRUST COMPANY, NATIONAL ASSOCIATION	HEARING ON PRELIMINARY INJUNCTION

Tentative Ruling:

This is a wrongful attempted foreclosure case. On 5/22/2026, Charles and Marla Smallwood (“Plaintiffs”) filed their verified complaint against U.S. Bank Trust Company, National Association, Fay Servicing, LLC (“Fay”), and Clear Recon Corp. The complaint asserts a cause of action for (1) violation of Civil Code §§ 2923.55, 2924.11, and 2923.12; and (2) promissory estoppel.

Plaintiffs, who are a married couple, reside at 3418 Boros Blvd, Beamont, California (the “Property”). (Complaint, ¶¶ 1-2.) Defendant U.S. Bank Trust Company is the beneficiary under the 5/18/2018 deed of trust, pursuant to a corporate assignment deed of trust recorded on 12/12/2024. (*Id.* at ¶¶ 3 and 14.) Fay is the loan servicer. (*Id.* at ¶ 4.) In mid-2025, Plaintiffs were notified of a default and a Notice of Trustee’s Sale was recorded, setting an initial sale date of 6/18/2025. (*Id.* at ¶¶ 16-19.)

On 12/29/2025, Plaintiffs retained counsel and reported to Defendants that they were seeking a loan modification due to financial hardship. (*Id.* at ¶ 20.) Between January 2026 and March 2026, Plaintiffs and their counsel assembled and submitted a loss mitigation application, submitted on 2/6/2026 to Fay. (*Id.* at ¶¶ 20-23.) Plaintiffs filed for Chapter 13 bankruptcy on 2/17/2026 and supplied proof of same to Fay. (*Id.* at ¶ 26.) On 2/18/2026, Fay advised that the foreclosure was on hold because of the bankruptcy filing. (*Id.* at ¶ 27.)

On 3/2/2026, Plaintiffs updated the loss mitigation packet and Fay reported a new foreclosure sale date of 4/29/2026. (*Id.* at ¶ 28.) On 4/16/2026, Fay denied the loss mitigation/loan modification request and confirmed the 4/29/2026 foreclosure sale date. (*Id.* at ¶ 31.) Plaintiffs appealed, the 4/29/2026 foreclosure sale did not go forward, and Fay denied Plaintiffs’ appeal on 5/6/2026. (*Id.* at ¶¶ 32-38.) Fay then communicated a new foreclosure sale date of 5/13/2026 due to the denied appeal. (*Id.* at ¶ 40.) The complaint ultimately accuses Defendant of promissory estoppel and statutory violations based on their pursuit of foreclosure while, “...a complete loss mitigation application and appeal were pending and after promising that the appeal would be reviewed within 30 business days.” (*Id.* at ¶ 43.)

Now, Plaintiffs move for a preliminary injunction to prevent Defendants from proceeding with the foreclosure sale. In their initial ex parte requesting a TRO, filed on 6/5/2026, Plaintiffs state the foreclosure sale had been rescheduled for 6/10/2026. The court granted the request for a TRO and set an OSC re: preliminary injunction for hearing on 7/10/2026.

In opposition, Fay argues that there is no threat of imminent harm because the Notice of Trustee’s Sale set an initial sale date of 6/18/2025. Fay argues that such a

notice is only valid for 365 days and thus, there is currently no valid notice and no ability to go forward with the foreclosure sale. In the alternative, Fay argues Plaintiffs do not show a probability of prevailing on the merits of their claim.

In reply, Plaintiffs argue the request for injunction is not moot because Defendants remain free to record a new Notice of Trustee's Sale the moment the current TRO expires.

ANALYSIS

A. Request for Judicial Notice

Fay requests judicial notice of the 5/8/2025 Notice of Trustee's Sale, setting the initial sale date for 6/18/2025. The notice is attached to the request as Exhibit A.

In *Fontenot v. Wells Fargo Bank, N.A.* (2011) 198 Cal.App.4th 256, 265 (overturned on other grounds in *Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919, 939 n. 13), the court could "take judicial notice of the of the fact of a document's recordation, the date the document was recorded and executed, the parties to the transaction reflected in a recorded document, and the document's legally operative language, assuming there is no genuine dispute regarding the document's authenticity." Here, Plaintiffs fail to plead facts or provide evidence contradicting the recorded document attached to the request as Exhibit A. The court GRANTS judicial notice as to Exhibit A.

B. Preliminary Injunction – Merits

The purpose of a preliminary injunction is to preserve the status quo pending a determination on the merits. (*Jamison v. Department of Transportation* (2016) 4 Cal.App.5th 356, 361.) A motion for preliminary injunction must show (1) a probability of prevailing on the merits, and (2) that the balance of hardships favors issuance of the injunction. (*O'Connell v. Superior Court* (2006) 141 Cal.App.4th 1452, 1463.) However, "[t]he applicant must demonstrate a real threat of immediate and irreparable injury [citation] due to the inadequacy of legal remedies." (*Triple A. Machine Shop, Inc. v. State of California* (1989) 213 Cal.App.3d 131, 138.)

The issue is Plaintiffs show no threat of immediate or irreparable injury sufficient to grant this motion given Defendant's Exhibit 1. CCP § 526(a)(2) lists the traditional consideration of "irreparable injury." Irreparable harm is often related to the "inadequate legal remedy" (i.e., the damages remedy is inadequate because some immeasurable harm is threatened). But it is also a separate consideration. Relief is unlikely unless someone will be significantly hurt in a way that cannot later be repaired. (*People ex rel. Gow v. Mitchell Brothers' Santa Ana Theater* (1981) 118 Cal.App.3d 863, 870-871.)

Under Civil Code § 2924g(c)(1), there may be postponements of the sale proceedings for any period of time not to exceed a total of 365 days from the date set forth in the notice of sale. In the event that the sale proceedings are postponed for a period or periods totaling more than 365 days, the scheduling of any further sale

proceedings shall be preceded by giving a new notice of sale. (Civ. Code § 2924g(c)(2).)

The initial sale date for the Property was set for 6/18/2025. (Fay's Request for Judicial Notice, Exhibit A.) Therefore, the Notice of Trustee Sale has expired as it currently stands, Fay (nor any of the other Defendants) have any ability to go forward with the sale. Plaintiffs fail to show any evidence of an imminent sale of the Property or other imminent harm. While Plaintiffs state that Fay can simply record a new notice once the TRO expires, such a possibility is purely hypothetical at this point. The threat of "irreparable harm" must be imminent as opposed to a mere possibility of harm sometime in the future: "An injunction cannot issue in a vacuum based on the proponents' fears about something that may happen in the future. It must be supported by actual evidence that there is a realistic prospect that the party enjoined intends to engage in the prohibited activity." (*Korean Philadelphia Presbyterian Church v. California Presbytery* (2000) 77 Cal.App.4th 1069, 1084.) Plaintiffs' fear of a new notice being recorded is purely hypothetical at this point.

Plaintiffs are thus not entitled to injunctive relief. **The motion is denied.**